

5. 9:00 AM CASE NUMBER: C24-01921

CASE NAME: A-S PIPELINES INC., A CALIFORNIA CORPORATION VS. GOLD COAST PIPELINES, INC. A CALIFORNIA CORPORATION

*HEARING ON MOTION IN RE: SEAL

FILED BY: DAVID T. SEENO

TENTATIVE RULING:

The hearing is ordered **OFF-CALENDAR**, as this motion to seal was granted by stipulation of the parties and the Court's Order signed July 23, 2026.

6. 9:00 AM CASE NUMBER: C24-01921

CASE NAME: A-S PIPELINES INC., A CALIFORNIA CORPORATION VS. GOLD COAST PIPELINES, INC. A CALIFORNIA CORPORATION

HEARING ON DEMURRER TO: CROSS COMPLAINT

FILED BY: DAVID T. SEENO

TENTATIVE RULING:

Before the Court is David T. Seeno ("Cross-Defendant")'s demurrer to Albert D. Seeno, Jr. ("Cross-Complainant")'s Cross-Complaint for unjust enrichment and promissory fraud.

Cross-Defendant demurs on several grounds, including that the probate court has exclusive jurisdiction over trust administration and termination disputes.

For the following reasons, the Court on its own motion transfers this matter to the Probate Division of this Court. Cross-Defendant can thereafter reschedule this demurrer (and concurrent motion to strike) for hearing in the Probate Division. In the event the Probate Division finds this transfer was made in error, it may transfer this action back to this Department as it sees fit.

Request for Judicial Notice

Cross-Defendant requests judicial notice of several pleadings and orders in P24-00908 In re Albert D. Seeno, Jr. and Sandra L. Seeno PCI Trust for David T. Seeno. Cross-Complainant objects to this request on several grounds. Those objections are **OVERRULED**. However, "[w]hile [the Court] may take judicial notice of court records and official acts of state agencies (Evid. Code, § 452, subds.(c), (d)), the truth of matters asserted in such documents is not subject to judicial notice." (*Arce v. Kaiser Foundation Health Plan, Inc.* (2010) 181 Cal.App.4th 471, 482.) "A court may take judicial notice of the existence of each document in a court file, but can only take judicial notice of the truth of facts asserted in documents such as orders, findings of fact and conclusions of law, and judgments. [Citations.]" (*Garcia v. Sterling* (1985) 176 Cal.App.3d 17, 22.) Subject to those limitations, the request is **GRANTED**.

Legal Standard

"The function of a demurrer is to test the sufficiency of the complaint as a matter of law." (*Holiday Matinee, Inc. v. Rambus, Inc.* (2004) 118 Cal.App.4th 1413, 1420.) A complaint "is sufficient if it alleges ultimate rather than evidentiary facts" (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550 ("*Doe*")), but the plaintiff must set forth the essential facts of his or her case "with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent" of the plaintiff's claim. (*Doheny Park Terrace Homeowners Assn., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.) Legal conclusions are insufficient. (*Id.* at 1098–1099; *Doe* at 551, fn. 5.) The

Court “assume[s] the truth of the allegations in the complaint, but do[es] not assume the truth of contentions, deductions, or conclusions of law.” (*California Logistics, Inc. v. State of California* (2008) 161 Cal.App.4th 242, 247.)

Analysis

Cross-Defendant argues as a threshold issue that the probate court has exclusive jurisdiction over trust administration and termination disputes and the Cross-Complaint therefore fails to state a cognizable civil cause of action. Specifically, Cross-Defendant argues that Cross-Complainant’s claims “rise entirely from alleged misconduct in the structure, duration, and tax consequences of the Trust—specifically, that the Trust should have terminated earlier, that tax burdens were improperly allocated during Trust administration, and that gaming-licensure conditions prevented termination.” (Dem. at 11:9-12.) The Cross-Defendant further argues that those same issues are pending before the Probate Court in the PCI Trust Action “which seeks relief concerning Trustee conduct, Trust administration, and judicial oversight of the Trust.” (*Id.* at 11:26-28.)

In opposition, Cross-Complainant argues that the Probate Court does not have exclusive jurisdiction “over claims which are personal to Mr. Seeno, who is neither a trustee nor a beneficiary, and which arise from David’s actions, not trust administration.” (Opp. at § III(B)(1).)

However, when the Court examines the relief requested in this case and in the pending probate action, it is clear that they implicate questions of Trust construction and interpretation. For example, the Cross-Complaint alleges that the trust is an “intentionally defective grantor trust” which obligates the trustor for the payment of income taxes on any income generated by the trust assets once transferred to the trust and that the beneficiary receives the trust’s income periodically but does not have to pay income taxes on that income. (See XC at ¶¶ 16, 18.) The Cross-Complaint also alleges that “the Trust was established and would operate consistent with the Nevada Gaming Control Act and the regulations of the Nevada Gaming Commission promulgated under the Nevada Gaming Control Act.” (*Id.* at ¶ 22.) The Cross-Complaint further alleges that “[b]y the Trust’s plain terms, the Trust was to termination in or around January 2015. [¶] Doing so, however, required David to become properly licensed by the Nevada Gaming Authorities so that the Trust’s trustee could transfer the Trust’s ownership interests in PCI and WCI directly to him.” (*Id.* at ¶¶ 25, 26.) The gravamen of the Cross-Complaint’s unjust enrichment claim is Cross-Complainant’s contention that Cross-Defendant “intentionally delayed applying for the requisite gaming license so to continue to saddle his parents with the income tax exposure associated with the Gaming Interests.” (*Id.* at ¶ 36.) Similarly, the Cross-Complaint’s promissory fraud claim alleges that Cross-Complainant “did not intend to undertake the efforts to qualify for or make any timely efforts to obtain the required gaming license during the Trust’s term or thereafter until faced with the fact that Mr. and Mrs. Seeno planned to substitute other assets for the Casino Interests, and only then applied for the required licensure, thereby revealing his intentional scheme to continue to require his parents to shoulder David’s income tax liability.” (*Id.* at ¶ 43.)

These allegations all implicate the terms and obligations of the Trust, which is already the subject of an action in the Probate Division of this Court which predates the filing of the instant Cross-Complaint by several years. (See Yu Decl. at ¶ 2, Ex. 1 [Petition for Relief from Breach of Trust and for Removal of Trustee, Contra Costa County Superior Court case no. P24-00908, filed on October 29, 2024].)

Furthermore, the authorities cited by Cross-Defendant also support the conclusion that the Cross-Complaint should be heard by the Probate Division.

For example, in *Cabral v. Soares* (2007) 157 Cal.App.4th 1234, the appellate court held that the trial

court correctly sustained a demurrer to an ex-wife's suit alleging that her ex-husband conspired with his sister and their mother to cut the ex-husband out of the mother's will so that the ex-wife would not be able to reach property otherwise destined for the ex-husband, because the suit was either an attack on the validity of deceased mother's will or an attempt to seek distribution of the mother's estate in contradiction of terms of the will. (*Id.* at pp. 1239-1240.) Either way it should have been the subject of a probate claim.

Additionally, in *Saks v. Damon Raike & Co.* (1992) 7 Cal.App.4th 419 the trust beneficiaries sued a real estate broker and an attorney who had provided services to the trust, contending that they had breached duties of care and fiduciary duties to the trust by failing to disclose certain material information about a property transaction in which they had represented the trust. (*Id.* at p. 423.) The complaint also alleged that the attorney had acted improperly in advising the beneficiaries (who previously had been trustees) to resign as trustees, leaving Sumitomo Bank as the sole trustee. (*Id.* at p. 424.) The trial court sustained the defendants' demurrers to the complaint and the court of appeal affirmed. The Court of Appeal held that the beneficiaries' "only proper course was to proceed against the trustee in the probate department, seeking either to compel [the trustee] to proceed against [the third party tortfeasors], or to remove it and to appoint a trustee ad litem to sue the third parties." (*Id.* at p. 430.)

While Cross-Complainant argues in opposition that these authorities are inapplicable because he is neither a beneficiary or a trustee, he is, however, one of the Settlers of the Trust in question. Furthermore, he has actively participated in the Probate action concerning the same Trust. The Court is not aware of a procedural bar that would preclude his seeking the relief of the Cross-Complaint (damages in the form of tax liability as a consequence of Cross-Defendant's alleged deliberate failure to obtain the required gaming license for transfer of the Trust's assets to his individual Trust) in the Probate action. Indeed, the pleadings and orders in that case suggest that he is seeking similar relief there.

Conclusion

Although Cross-Defendant requests dismissal of the Cross-Complaint (Dem. at 10:17-18), the Court finds that transfer, not dismissal, is the proper procedure. There is no separate probate court in California; rather, probate jurisdiction is vested in the Superior Court, and the probate department simply is the Superior Court sitting in probate. (See generally *Glade v. Glade* (1995) 38 Cal.App.4th 1441, 1449 ("Even though a superior court is divided into branches or departments, pursuant to California Constitution, article VI, section 4, there is only one superior court in a county and jurisdiction is therefore vested in that court, not in any particular judge or department. Whether sitting separately or together, the judges hold but one and the same court."); see also e.g. *People v. Superior Court of San Bernardino County* (1930) 104 Cal.App.276, 281 ("The juvenile court is itself a superior court, although acting in a particular class of cases, and has an inherent power to transfer a case to another department of the same court, when the limits of its special powers are reached").)

In a footnote in *Saks*, the Court of Appeal expressly noted the assigned court had the authority to transfer the civil action to the probate department. (*Saks, supra*, at p. 430 n.8 ("Although the parties do not address this point, we note that the trial court could have, on its own motion, transferred this action to the probate department under Code of Civil Procedure section 396, rather than dismissing it.").)

Consequently, this Court transfers the Cross-Complaint to the probate division.